

Risk Management

Protecting capital through sizing, limits, scenarios, and risk controls

- Level: All levels
- Format: Self-paced micro-lessons + exercises
- Estimated time: 6-10 hours
- Last update: 2025-12-26

Risk management is the skill that keeps investors in the game. You will learn how to quantify risk, size positions, set loss limits, and prepare for adverse scenarios without panic.

Rule: Survival first. If you cannot survive bad outcomes, you cannot capture good outcomes.

1. Learning Outcomes

By the end of this module, the learner will be able to:

- Define and measure risk using drawdown, volatility, and value-at-risk intuition
- Set position sizing based on maximum acceptable loss
- Create a risk plan with limits, triggers, and scenario responses
- Understand common failure modes (leverage, correlation, liquidity)

Prerequisites

- Basic knowledge of returns and percentages
- Willingness to follow rules even when emotions disagree

2. Curriculum Map (Suggested Path)

Unit	Focus	Key Deliverable
1	Risk vocabulary & measurement	Risk dashboard
2	Position sizing & stop logic	Sizing calculator
3	Portfolio-level risk & correlation	Exposure map
4	Scenario planning & stress tests	Scenario playbook
5	Operational risk & routines	Risk checklist

3. Core Concepts

Risk budgeting

A risk budget is how much loss you can tolerate without breaking your plan. Budget risk like you budget money.

- Max loss per trade/decision
- Max weekly/monthly drawdown
- Max exposure per asset class

Position sizing

Sizing is your main risk control. Two people can buy the same asset with different sizes and face completely different outcomes.

- Define max loss in dollars
- Translate to position size using stop distance
- Avoid adding size after losses to 'recover'

Correlation & hidden concentration

Many assets are linked through the same macro driver. When the driver breaks, everything moves together.

Liquidity and tail risk

In stress, spreads widen and exits become expensive. Tail events are rare but decisive. Build rules that assume stress will happen.

4. Practical Toolkit

Use these templates and checklists while you learn. Keep them in your investor journal.

Risk Plan (One Page)

Pre-commit to rules before emotions appear.

- What is the thesis?
- What invalidates it? (price/condition)
- Max loss in \$ and %
- Position size and leverage (if any)
- Exit plan (partial + final)
- What if liquidity disappears?

Stop & Limit Logic

Reduce catastrophic outcomes.

- Hard stop (must exit)
- Soft stop (review triggers)
- Time stop (if thesis doesn't play out by date)
- Portfolio stop (pause if drawdown exceeds threshold)

Scenario Playbook

Act fast with pre-decided moves.

- Rate shock scenario: reduce duration risk, increase cash
- Risk-off scenario: cut correlated exposure, increase hedges
- Liquidity shock: prioritize most liquid exits first

5. Hands-on Exercises

Build a personal risk budget

Write your maximum acceptable losses and limits.

- Define max loss per decision (e.g., 1%)
- Define max monthly drawdown (e.g., 6-10%)
- Define max leverage (preferably 1x for beginners)

Output: Risk budget statement

Position size calculation

Use stop distance to calculate size.

- Pick an entry price and stop price
- Compute stop distance %
- Choose max loss \$
- Calculate position size = max loss / stop distance

Output: Sizing table for 3 examples

Stress test your portfolio

Imagine a bad month and plan reactions.

- Assume top 3 positions drop 15%
- Assume currency moves against you 5%
- Write steps you will take within 24 hours

Output: Scenario response page

6. Quick Assessment (Self-Check)

Answer in 5-10 minutes. If you miss more than 2 questions, review Units 1-3.

- 1. What is a risk budget and why is it useful?
- 2. How does position sizing control risk more than entry timing?
- 3. Name two types of stops besides a hard stop.
- 4. Why does liquidity risk matter during market stress?
- 5. What is hidden concentration?

7. Mini Glossary

Drawdown: Peak-to-trough loss.

Leverage: Borrowing or derivative exposure that magnifies returns and losses.

Stop-loss: A predefined exit level to cap loss.

Exposure: Amount of risk allocated to an asset or factor.

Tail risk: Low-probability, high-impact events.

8. Next Steps

Combine this risk framework with Global Investing portfolio construction and Capital Management bucket rules.

- Write one Risk Plan for every position.
- Set a portfolio drawdown stop rule.
- Review risk weekly (10 minutes).